Comprehensive Reform of Land and Property Leasing

Restrictions on land leasing led to the development of informal sharecropping arrangements. As self-cultivation was considered nobler in the socialistic mindset and the exploitative absentee landlord the archetypal villain, policymakers decided to outlaw agriculture land leasing in India. Almost all land reform laws either completely disallowed land leasing or made it so conditional that formal land leasing just could not have taken place.

Such statutory bans and restrictions, however, could not overcome the real economic necessity of leasing land. There were several reasons why agricultural lands had to be given to other farmers for cultivation. The landowner might not be in a physical state to undertake cultivation. The landowner might have taken up different work or might have migrated to a city or town. A land parcel might be too small to be cultivated. A little larger scale of operations is likely to yield better crops. Another farmer might be more skilful. These factors operated equally on the demand side. Unsurprisingly, an informal leasing system has developed and become widespread. It operates on commercial principles. The lessor and the lessee enter into an informal agreement, commonly described as *batai* or a sharecropping arrangement. The informal lessee cultivates the land and shares a part of the crop or its proceeds with the lessor, the actual share depending upon several factors relating to who bears the input costs, type of land, etc.

Thus, land leasing has become rampant over the past few decades.

Land leasing restrictions have been relaxed in some states over the years. The Andhra Pradesh Licenced Cultivators Act was passed in 2011. Some other states brought in contract farming through amendment in other laws. Yet, there are millions of landowners who still cannot formally lease land.